

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S AMENDED MOTION TO DISMISS
THE AMENDED THIRD-PARTY COMPLAINT**

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TABLE OF CONTENTS

	Page
TABLE OF AUTHORITIES.....	ii
PRELIMINARY STATEMENT.....	1
INTRODUCTION.....	1
BACKGROUND and PROCEDURAL HISTORY	1
LEGAL STANDARDS.....	6
I. It is Proper for SEC to Assert a Fed. R. Civ. P. 12(b)(6) Motion in this Proceeding	6
II. Standards of Review and Pleading: General.....	6
III. Standards of Review and Pleading: Fed. R. Civ. P. 9(b)	10
ARGUMENT	16
I. A Claim for Breach of Contract does not Establish an Intent Not to Perform the Contract	16
II. OOCL Does Not Allege Knowing and Willful Conduct by SEC	18
III. OOCL Does Not Adequately Allege False or Fraudulent Conduct by SEC.....	19
IV. OOCL’s Allegations Fail to Meet the Commission’s General Pleading Standard	22
CONCLUSION	23

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>Asbury Square, L.L.C. v. Amoco Oil Co.</i> , 221 F.R.D. 497 (S.D. Iowa 2004)	17
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009)	7, 9, 14
<i>Bell Atlantic Corp. v. Twombly</i> , 550 U.S. 544 (2007)	7, 8
<i>Bombardier Corp. v. National R.R. Passenger Corp.</i> , 298 F. Supp.2d 1 (D.D.C. 2002)	9
<i>Brokerage on Shipments of Ocean Freight—Max LePack, (Max LePack)</i> , 5 F.M.B. 435 (FMB 1958)	18
<i>Conley v. Gibson</i> , 355 U.S. 41 (1957)	7,8
<i>Cooper v. Pickett</i> , 137 F.3d 616 (9th Cir. 1997)	15
<i>Cornell v. Princess Cruise Lines, Ltd.</i> , FMC Dkt. No. 13-02, 2014 WL 5316340 (FMC Aug. 28, 2014)	6
<i>Griggs v. Ameriquest Mortg. Co.</i> , No. 1:06-CV-3147, 2007 WL 9703155 (N.D. Ga. Apr. 25, 2007) , <i>report and recommendation adopted</i> , 2007 WL 9703156 (N.D. Ga. May 24, 2007)	14
<i>Hicks v. Department of Public Safety and Corrections</i> , 595 F. Supp 3d 463 (M.D. La. 2022)	7
<i>In re Typhoon Industries, Inc.</i> , 6 B.R. 886, (Bankr. E.D.N.Y. 1980)	10
<i>Hohenberg Bros. Co. v. FMC</i> , 316 F.2d 381 (D.C. Cir. 1963)	21
<i>Hotel Constr., Inc. v. Seagrave Corp.</i> , 574 F. Supp. 384 (S.D.N.Y. 1983)	17
<i>Li v. Kerry</i> , 710 F.3d 995 (9th Cir. 2013)	14

<i>Lone Star Ladies Inv. Club v. Schlotzsky's Inc.</i> , 238 F.3d 363 (5th Cir. 2001)	14, 15
<i>Lundy v. Cath. Health Sys. of Long Island Inc.</i> , 711 F.3d 106 (2d Cir. 2013).....	15
<i>Maher Terminals, LLC v. the Port Authority of New York and New Jersey</i> , FMC Dkt. No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)	2,7
<i>MAVL Capital Inc. v. Marine Transp. Logistics, Inc.</i> , FMC Dkt. No. 16-16, 2020 WL 6445041 (FMC Oct. 29, 2020).....	6, 7
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.</i> , FMC Dkt. No. 09-01, 2010 WL 11914641 (ALJ Jun. 22, 2010).....	12, 13
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.</i> , FMC Dkt. No. 09-01, 2011 WL 7144008 (FMC, Aug. 1, 2011)	6,7,12,13,14
<i>MSP Recovery Claims, Series LLC v. Pfizer, Inc.</i> , No. 22-cv-01419(DLF), 2025 WL 689180 (D.D.C. Mar. 4, 2025), <i>appeal</i> <i>pending</i> , No. 25-7045 (D.C. Cir., filed April 8, 2025)	15
<i>Papasan v. Allain</i> , 478 U.S. 265 (1986).....	7
<i>Rana v. Franklin</i> , FMC Dkt. No. 19-03, 2022 WL 1744905 (FMC May 25, 2022)	10, 18,19
<i>Rombach v. Chang</i> , 355 F.3d 164 (2nd Cir. 2004).....	14
<i>Rose International, Inc. v. Overseas Moving Network International, Ltd., et al</i> , 29 S.R.R. 119 (FMC 2001).....	13
<i>Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited</i> <i>and OOCL (Europe) Ltd.</i> , FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), <i>aff'd in part and</i> <i>remanded</i> (Doc. No. 66)(FMC Jul. 30, 2025).....	<i>passim</i>
<i>Samsung Electronics America, Inc. v. SM Line Corp.</i> , FMC Dkt. No. 23-01 (Doc. No. 59)(ALJ Jan. 31, 2024).....	4, 24
<i>SeaFair USA LLC v. Sterling Container Line Ltd.</i> , FMC Dkt. No. 22-34, 2024 WL 1741926 (ALJ Apr. 15, 2024).....	10, 19
<i>SEC v. Binance Holdings Ltd.</i> , 738 F. Supp.3d 20 (D.D.C. 2024)	15

<i>Sizer v. New England Life Ins. Co.</i> , 871 F. Supp. 2d 1071 (D. Oreg. 2012).....	17
<i>Smith v. Gen. Motors LLC</i> , 988 F.3d 873 (6th Cir. 2021)	15
<i>Southland Sec. Corp v. Inspire Ins. Solutions, Inc.</i> , 365 F. 3d 353 (5 th Cir. 2004)	7
<i>Stanat Mfgr. Co. v. Imperial Metal Finishing Co., Inc.</i> , 325 F. Supp. 794 (S.D.N.Y. 1971)	17
<i>Taha v. William Marsh Rice University</i> , Civil Action No. 11-2060, 2012 WL 1576099 (S.D. Tex. May 3, 2012).....	7
<i>UMG Recordings, Inc. v. Global Eagle Entertainment, Inc.</i> , 117 F. Supp. 3d 1092 (C.D. Calif. 2015).....	16, 17
<i>United States v. Open Bulk Containers</i> , 727 F.2d 1061 (11 th Cir. 1984)	10, 19
<i>Unpaid Freight Charges</i> , 57 FR 38807, 1992 WL 205977 (FMC Aug. 27, 1992)	11
<i>Vess v. Ciba-Geigy Corp. USA</i> , 317 F.3d 1097 (9th Cir. 2003)	14
<i>Wall v. Michigan Rental</i> , 852 F.3d 492 (6th Cir. 2017).....	15
<i>Westfall v. Miller</i> , 77 F.3d 868 (5 th Cir. 1996)	7
<i>Wood ex rel. United States. v. Applied Research Assocs., Inc.</i> , 328 Fed. Appx. 744 (2d Cir. 2009).....	14
Statutes, Rules and Regulations	
Shipping Act of 1984, 46 U.S.C. § 40101 <i>et seq.</i>	<i>passim</i>
46 U.S.C. § 41102(a)	<i>passim</i>
Fed. R. Civ. P. 8.....	12, 14
Fed. R. Civ. P. 9(b)	<i>passim</i>
Fed. R. Civ. P. 12(b)(1).....	7
Fed. R. Civ. P. 12(b)(6).....	7, 8, 14, 25

46 C.F.R. § 502.12	7, 12
46 C.F.R. § 502.62	12, 16, 22, 23
46 C.F.R. § 502.69	25
46 C.F.R. § 502.70	25
46 C.F.R. § 502.72	7
46 C.F.R. § 502.113(c).....	2
46 C.F.R. § 545.2	14, 20

Treaties

Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638.....	2
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Treatises

W. Prosser, The Law of Torts § 109 (4th ed.1971)	17
5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. §1215 (3d ed. 2010)	7

PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), by its undersigned attorneys, respectfully submits this Amended Motion to Dismiss the Amended Third-Party Complaint filed by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”)(Doc. No. 85), for failure to state a claim upon which relief can be granted.

INTRODUCTION

This Amended Third-Party Complaint (“ATPC”)(Doc. No. 85), along with OOCL’s Amended Counterclaim (“AC”)(Doc. No. 69) against Samsung Electronics America, Inc (“SEA”), is OOCL’s second attempt to try and convince the Presiding Officer that its ability to determine *now* what was in the minds of negotiating parties *then* can somehow substantiate its allegations of wrongdoing on the part of SEA and SEC. OOCL alleges that SEC and SEA engaged in misrepresentation and deception in order to induce OOCL to offer rates, terms and conditions at favorable terms, in violation of 46 U.S.C. § 41102(a) . But OOCL’s allegations amount to nothing more than disagreement over contract terms and do not state a claim upon which relief can be granted in this forum.

BACKGROUND AND PROCEDURAL HISTORY

As alleged by OOCL, the sequence of events in this matter is straightforward. SEC and OOCL negotiated and entered into certain alleged service contracts in 2021 and 2022 (ATPC ¶¶ 12 and 16; AC ¶¶ 8 and 12). The terms of the alleged service contracts/tariffs speak for themselves. During the terms of the alleged service contracts, certain charges were accrued in the United States and notice of those charges was sent to SEA, and through SEA to SEC. (ATPC ¶ 48; AC ¶ 34)

Subsequently, SEA sent OOCL a demand concerning the refund of certain demurrage, detention, handling and/or storage fees (ATPC ¶ 51; AC ¶ 37). Further communications between SEA and OOCL did not resolve the dispute, leading to SEA's filing this action (AC ¶ 43).¹

Following initial motion practice, SEA filed an amended complaint on December 2, 2024, alleging violations of the Shipping Act of 1984 (Doc. No. 17). OOCL answered on December 12, 2024, and asserted a Counterclaim alleging a violation of 46 U.S.C. § 41102(a) by SEA (Doc. No. 19). On that same day, OOCL filed its Third-Party Complaint against SEC alleging a violation of 46 U.S.C. § 41102(a) (Doc. No. 20).

Subsequently, SEA's motion to dismiss the Counterclaim was granted on March 31, 2025 (Doc. No. 38.) OOCL appealed the dismissal to the Commission which affirmed the dismissal on July 30, 2025 (Doc. 66) but remanded the matter to allow OOCL to amend its Counterclaim. OOCL filed its Amended Counterclaim on August 13, 2025 (Doc. No. 69). SEA moved to dismiss the Amended Counterclaim (Doc. No. 74) on September 8, 2025 and OOCL filed its Opposition (Doc. 82) on September 25, 2025.

Concerning the Third-Party Complaint, on January 9, 2025, SEC filed a Notice of Special Appearance (Doc. No. 25) and, on January 29, 2025, SEC filed its Motion to Dismiss for improper service (Doc. No. 32). OOCL later filed its Motion for Alternative Service (Doc. No. 56). Following further briefing, on July 10, 2025, the Presiding Officer found that SEC had not been properly served; dismissed the pending motions and ordered that OOCL could have a reasonable

¹ For the purposes of this Amended Motion to Dismiss, SEC acknowledges that the Presiding Officer must accept OOCL's factual allegations as true. *See Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015)(in the context of a Fed. R. Civ. P. 12(b)(6) motion, "[T]he Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant."). That said, if this matter proceeds, SEC intends to vigorously contest the validity of OOCL's allegations.

amount of time to serve SEC in accordance with the terms of the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”) (Doc. No. 65). On August 13, 2025, SEC received the service materials from the Korean Central Authority pursuant to the Hague Convention. OOCL filed its proof of service, in accordance with 46 C.F.R. § 502.113(c), on September 18, 2025 (Doc. No. 77).

SEC filed its Motion to Dismiss the Third-Party Complaint on September 8, 2025 (Doc. No. 73). OOCL then filed its Unopposed Motion for Leave to File an Amended Third-Party Complaint and for the Suspension of Time to Oppose SEC’s Motion to Dismiss on September 18, 2025 (Doc. No. 78). OOCL’s motion was granted on September 22, 2025 (Doc. 79) and the Presiding Officer set the schedule for the filing of OOCL’s Amended Third-Party Complaint, the filing of SEC’s Amended Motion to Dismiss as well as the subsequent submissions.

SEC now moves to dismiss the Amended Third-Party Complaint for failure to state a claim upon which relief can be granted.²

46 U.S.C. § 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates” provides that:

A person may not knowingly and willfully , directly or indirectly, by means of false billing, false classification false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

OOCL’s Amended Third-Party Complaint and, indeed, the Amended Counterclaim, alleging a violation of the statute relies on its allegations first, that SEC, *at the time of negotiation*

²The Presiding Officer may note various references to the Amended Counterclaim in this motion. The reason is simple: the allegations in the Amended Counterclaim are closely linked to the allegations in the Amended Third-Party Complaint. Thus, to understand the deficiencies of the Third-Party Complaint, reference to the Amended Counterclaim is necessary.

and during the performance of the Service Contracts, “concealed its position” that neither SEC nor SEA would accept responsibility for delay fees that were not the fault of OOCL and rejected specific terms it had agreed to, thus causing OOCL to offer rates it would not otherwise have offered, and second, that SEC (through SEA) demanded refunds of charges for which it was legally responsible, all of which amounted to an unjust or unfair device and enabled SEC to obtain ocean transportation at less than applicable rates. (ATPC ¶¶ 85 – 87; AC ¶¶ 31, 33 and 66).³

But OOCL has failed to plead sufficient *factual* allegations to support its Amended Third-Party Complaint (or the allegations in the Amended Counterclaim) against SEC with respect to all the elements that constitute a valid § 41102(a) claim. Neither the Amended Third-Party Complaint nor the Amended Counterclaim plausibly alleges any *facts* – merely illusory speculations and conclusory statements – that SEC attempted, either successfully or otherwise, to obtain ocean transportation at less than agreed rates, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. In short, OOCL has utterly failed to state a claim upon which relief can be granted, and the Third-Party Complaint against SEC should be dismissed with prejudice.

The futility of OOCL’s Amended Third-Party Complaint (as well as the allegations in the Amended Counterclaim) against SEC is inescapable as a matter of law. The same flawed legal theory has already been rejected in this and one other case – *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc.

³ SEC fully understands that strictly from a procedural standpoint, all this Amended Motion is required to address are the allegations in the Third-Party Complaint. However, in the interests of judicial efficiency, SEC submits that addressing the allegations asserted against it in the Amended Counterclaim is both logical and appropriate.

No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025)(“FMC OOCL Decision”) and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01 (Doc. No. 59)(ALJ Jan. 31, 2024). In both matters, the Presiding Officer (and in this very matter, the Commission) dismissed as a matter of law nearly identical § 41102(a) claims as asserted here by OOCL. OOCL’s Amended Third-Party Complaint against SEC should suffer the same fate.

The meritless basis of the Amended Third-Party Complaint (and indeed the Amended Counterclaim) is further illuminated in the FMC OOCL Decision. The Commission observed that the allegations of deception and concealment asserted against SEA were insufficient:

As noted above, the counterclaim does include factual allegations as to the making, content, and performance of the service contracts; it describes an alleged October 2022 ‘demand’ by SEA that OOCL refund different types of late fees; it describes later interactions between the parties about such refunds; and it asserts that SEA’s demand for refunds and its pursuit of this case seeking such a remedy violates section 41102(a)...But none of that alleges a plot to lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue.

FMC OOCL Decision (Doc. No. 66) at 17-18. Further, the Commission was doubtful that even if OOCL made new allegations concerning SEA’s alleged concealment, such allegations would necessarily state a viable claim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an ‘unfair device’ under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo...

Here, OOCL’s brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section

41102(a) claim.

Id. at 18-19.

The FMC OOCL Decision deftly exposes the paucity of both the Amended Third-Party Complaint and the Amended Counterclaim.

LEGAL STANDARDS

I. It is Proper for SEC to Assert a Fed. R. Civ. P. 12(b)(6) Motion in this Proceeding

The Commission's Rules of Practice and Procedure ("Rules") do not explicitly address a motion to dismiss (other than for failure to prosecute or to follow the Commission's rules or orders: 46 C.F.R. § 502.72). Rule 12 (46 C.F.R. § 502.12), however, states that in instances where there is no FMC Rule, then the Federal Rules of Civil Procedure will apply, so long as they are consistent with sound administrative practice. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 1312925, *4 (FMC Oct. 29, 2020).

Given the deficiencies of OOCL's Amended Third-Party Complaint against SEC, SEC's invocation of Fed. R. Civ. P. 12(b)(6) is proper.

II. Standards of Review and Pleading: General

There is a considerable body of FMC decisions addressing the application of Fed. R. Civ. P. 12(b)(6) in the context of proceedings before the FMC.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340, *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008, *11 (FMC Aug. 1, 2011)); *see also*

MAVL Capital Inc. v. Marine Transp. Logistics, Inc., FMC Dkt. No. 16-16, 2020 WL 6445041, *5 (FMC Oct. 29, 2020)(the Commission looks to Fed. R. Civ. P. 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). . . . The complaint must be sufficient to ‘give the defendant fair notice of what the ... claim is and the grounds upon which it rests.’ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (‘[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.’).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

To satisfy the plausibility standard, the plaintiff must show “more than a sheer possibility that the defendant acted unlawfully.” *Iqbal*, 556 U.S. at 678. “Furthermore, while the court must accept well-pleaded facts as true, ‘it will not strain to find inferences favorable to the plaintiff.’” *Taha v. William Marsh Rice University*, Civil Action No. 11-2060, 2012 WL 1576099, *2 (S.D. Tex. May 3, 2012)(quoting *Southland Sec. Corp v. Inspire Ins. Solutions, Inc.*, 365 F.3d 353, 361 (5th Cir. 2004)(quoting *Westfall v. Miller*, 77 F.3d 868, 870 (5th Cir. 1996))). On a motion to dismiss, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986). “Rather the inquiry is whether the allegations in the *Complaint* plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp 3d 463, 470 (M.D. La. 2022)(emphasis in original). *See also Maher Terminals, LLC*, 2015 WL 9426189, *12 (The plausibility standard does not require the acceptance of legal conclusions as true or the drawing of inferences unsupported by the allegations.)

The OOCL Amended Third-Party Complaint fails to meet the pleading requirements necessary to state a viable claim.

While the Amended Third-Party Complaint makes numerous allegations involving the activities of SEA (and by imputation, SEC), the allegations against SEC may be summarized as follows: 1) that SEC allegedly negotiated and signed certain service contracts with OOCL (ATPC ¶¶ 12, 15-22); 2) that SEC, *at that time*, knew it would not comply with the terms of those service contracts (ATPC ¶ 29); and 3) rather sweeping allegations that all of the payment dispute(s) between SEA, at the behest of SEC, and OOCL were in bad faith *because* of the earlier concealment that SEC/SEA would not honor the terms of the service contracts (ATPC ¶ 61) all of which resulted in SEC willfully and knowingly violating the Shipping Act, specifically, 46 U.S.C. § 41102(a) (ATPC ¶¶ 85-86.)

But these allegations do not begin to address the elements of the Act – there are no factual allegations of *actions* taken by SEC, or SEA for that matter, in the Third-Party Complaint, which might be construed as a violation. Nor are the allegations detailed and informative enough to enable SEC to respond. *Twombly*, 550 U.S. at 555 (The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.”)(quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)).

As noted above, the sequence of events is simple: SEC and OOCL allegedly negotiated service contracts in 2021. Under the terms of the alleged service contracts, goods were shipped to SEA. Certain charges were assessed by OOCL and paid by SEA. Subsequently, in 2022, SEA complained to OOCL of overcharges. Communications were exchanged back and forth between OOCL and SEA to no avail and in 2024 SEA filed an action against OOCL before the FMC.

In the Amended Counterclaim, OOCL now alleges that it was “induced” to enter into agreements with SEC and SEA which it would not have entered into if it had known that SEC and SEA did not agree with the terms and were planning not to honor the terms regarding delay costs (AC ¶¶ 30-33). But there are no facts alleged in either the Amended Counterclaim or the Amended Third-Party Complaint (only conclusory statements) regarding SEC’s or SEA’s state of mind at the time the alleged service contracts were negotiated, merely conclusory statements that because payments were later disputed, *ipso facto*, SEC and SEA had disagreed at the beginning and concealed their disagreement so as to obtain more favorable rates. Such a circular allegation is neither plausible nor, for that matter, logically sound.

OOCL alleges that when SEA disputed the charges, it knew or should have known that such refunds were not warranted (ATPC ¶ 51-61; AC ¶¶ 64-67).⁴ OOCL further alleges that SEC sought and achieved freight rates lower than what would otherwise have been applicable because of its deception, and that of SEA, throughout the terms of the contracts (ATPC ¶¶ 67, 87; AC ¶¶ 66-67). OOCL alleges that this conduct amounts to “an unjust or unfair device.” But again, this is nothing more than smoke and mirrors – OOCL does not, and cannot, allege that disputing a charge is, without more, unjust or unfair. Nor do OOCL’s conclusory allegations about SEC and SEA’s state of mind, relying as it does on the later dispute, amount to even the “sheer possibility” that either SEC or SEA acted unlawfully. *Iqbal*, 556 U.S. at 678. Open communication about a disagreement with respect to the legality of charges paid or owed, as was done by SEA (and, in

⁴Among the allegations regarding the demand payment by SEA are complaints that SEA did not respond to requests for information or avail itself of OOCL’s demurrage and detention process. Absent a contractual or legal requirement, not found here, failure to provide information when contesting a charge, or to use a company’s internal process, does not establish bad faith by the party contesting the charge. *See, e.g., Bombardier Corp v. National R.R. Passenger Corp.*, 298 F. Supp. 2d 1, 4-5 (D.D.C. 2002) (dispute resolution procedure in the contract was not mandatory and thus not a condition precedent to litigation).

any event, not involving SEC) in this matter, cannot plausibly be presented as evidence of fraud or concealment. *See, e.g., SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, *10 (ALJ Apr. 15, 2024). Similarly, “To establish a violation of section 41102(a), ‘fraud or concealment is a necessary in the proof of an unjust or unfair device or means.’” *Rana v. Franklin*, FMC Dkt. No. 19-03, 2022 WL 1744905, *8 (FMC May 25, 2022) (quoting *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)).

As a last resort, OOCL’s allegations in the Amended Third-Party Complaint are focused on actions taken by SEA. OOCL then seeks to link all of SEA’s conduct to SEC by way of asserting that SEC “controlled” SEA (ATPC ¶ 21) as if SEA was SEC’s ventriloquist’s dummy. No legitimate factual basis has been alleged for this allegation. Equally important, even if it is true (which it is not) it does not constitute any violation of the Shipping Act.⁵

OOCL’s allegations against SEC are paradigmatic examples of a “legal conclusion couched as a factual allegation.” Consistent with the precedent, the Presiding Officer need not accept OOCL’s legal conclusions as true nor draw any adverse inference against SEC as such inferences are completely unsupported by proper allegations.

III. Standards of Review and Pleading: Fed. R. Civ. P. 9(b)

In the Amended Counterclaim, OOCL has alleged SEC and SEA are, together and in concert, guilty of “concealment” in regard to their supposed deceptive intent at the time the alleged service contracts were executed and throughout the terms of the contracts (AC ¶¶ 31 and 66), and

⁵ SEA and SEC are separate companies as OOCL itself alleged (ATPC ¶¶ 1 and 4). OOCL should not be allowed to disregard corporate formalities by cavalierly alleging that SEA is controlled by SEC. “A corporation is entitled to a presumption that it is an entity which is separate from its sister corporations[,] parent corporations, subsidiaries and shareholders.” *In re Typhoon Indus., Inc.*, 6 B.R. 886, 890 (Bankr. E.D.N.Y. 1980)(citations omitted.)

that this concealment constituted an unfair or unjust device. OOCL has made similar allegations in the Amended Third-Party Complaint (ATPC ¶¶ 30-32, 45, 63-67, 85-87). Given that this allegation is the basis of OOCL's theory of the case, such an allegation is subject to heightened scrutiny.

“[T]he unjust or unfair means must partake of some element of falsification, deception, fraud, or concealment, in order to satisfy the legal requirements of these subsections.” *Unpaid Freight Charges*, 57 FR 38807, 38808, 1992 WL 205977 (FMC Aug. 27, 1992). What is significant here is inclusion of the word “concealment” with the terms “falsification,” “deception,” and “fraud.” SEC respectfully submits that the same pleading standard should be applied to each of these terms.

OOCL has alleged more than a mere violation of the statute; it has alleged on-going fraudulent conduct on the part of SEC as well as SEA. “Samsung sought and achieved freight rates for the transportation of its cargo lower than those that would otherwise have been applicable, and achieved extended free times and other financial benefits for SEA, ***by reason of the unjust and unfair device or means of concealing its rejection of the clear provision of the service contracts...[SEC] and SEA continued this deception after the Service Contracts expired and SEA/[SEC] gained the benefits of their deceit ...***” (AC ¶ 66)(emphasis added). And further, “***Samsung's concealment*** of its rejection of the specific terms it had negotiated ...caused OOCL to offer rates and other favorable terms...” (ATPC ¶ 32) SEC respectfully submits that heightened pleading requirements should apply to ***any*** claim alleging fraudulent conduct, including in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a).

While Rule 62(a)(3)(iii)(46 C.F.R. § 502.62) of the Commission's Rules is similar to Fed. R. Civ. P. 8's requirement for a “short and plain statement of the claim showing the pleader is

entitled to relief,” the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission’s Rules, on a motion to dismiss a pleading, the Presiding Officer should refer to Fed. R. Civ. P. 9(b), which establishes a heightened pleading standard for claims involving fraud. 46 C.F.R. § 502.12 (“for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.”)(emphasis added).

SEC is mindful of the decision recently issued by the Commission affirming the dismissal of OOCL’s Original Counterclaim in this matter, i.e., the FMC OOCL Decision (Doc. No. 66).

There, the Commission stated that “Because the ALJ did not decide the issue of whether the more demanding pleading standard should apply to section 41102(a) allegations, the Commission need not reach that issue *at this time*.” (Doc. No. 66 at 13 n.1)(emphasis added).

In that same footnote, the Commission addressed *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) and OOCL’s arguments concerning the same by stating, “OOCL argues that the Commission has repeatedly declined to apply such a standard, and that the majority in the Mitsui case *effectively rejected* it.” *Id.* (emphasis added). The Commission goes on to observe that “SEA does not dispute that “the *Mitsui* majority rejected the argument that a higher standard should apply.” *Id.* However, upon close examination of *Mitsui*, OOCL’s argument that the majority opinion in Mitsui “effectively rejected” the heightened pleading standard is not correct; the majority opinion did not address the heightened standard at all, let alone reject it, effectively or otherwise.

To understand *Mitsui*, reference must be made to the underlying opinion of the ALJ, *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2010 WL 11914641 (ALJ Jun. 22, 2010). The ALJ cited a 1993 Commission proposal that proposed that violations of the

statute be alleged “with particularity,” however, the proposal was not adopted. As such, the ALJ declined to impose the requirements of Fed. R. Civ. P. 9(b) on the complainant. 2010 WL 11914641 at *19. On appeal of this decision, the majority did not discuss or address this aspect of the ALJ’s finding at all. Moreover, it is not clear if the precise issue was in fact placed before the Commission in the appeal. As noted in Commissioner Khouri’s concurrence in part and dissent in part: “Further, though not before the Commission by standard procedural rule at the time, there are several important issues raised by the ALJ’s June 22, 2010, Memorandum and Order ... which I believe should be addressed and either modified or corrected. Therefore, I have added a discussion of these matters to this concurrence and dissent.” 2011 WL 7144008 at *33.

Concerning the application of Fed. R. Civ. P. 9(b) to FMC proceedings, Commissioner Khouri stated:

Going beyond the correct formulation of FRCP 8(a) pleading standards as discussed above, I further find that where Section 10(a)(1) [46 U.S.C. § 41102(a)] requires a showing of “fraud or concealment”, as expressly required by *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al*, 29 S.R.R. 119 (FMC, 2001), such matter must be plead with sufficient particularity in conformity with FRCP 9(b). *Id.* at 163. [I] find this to be a matter of fundamental fairness and due process.

....

Further, the Commission’s own regulation in 46 CFR Section 545.2 provides that bad faith or deceit is required in a Section 10(a)(1) case. In addition to the reasons discussed in previous sections, I find that the Commission must apply FRCP 9(b), which provides the standards alleging fraud or a mistake and further states that a party must plead ‘with particularity’ the circumstances which would constitute the fraud or mistake. Fed. R. Civ. P. 9(b).

Id. at *38 and *42 (footnote in the latter quote omitted; emphasis added).

It has been over thirty years since the Commission declined to adopt the amendment to Rule 62 in 1993. Given the silence of the majority of Commissioners in *Mitsui* and in view of Commissioner Khouri’s considered and articulate statements, SEC submits that **now** is the time

for this issue to be reached.

Federal courts have treated Fed. R. Civ. P. 12(b)(6) as inherently tied to the federal pleading rules, and as such, Fed. R. Civ. P. 12(b)(6) should be read in conjunction with Fed. R. Civ. P. 9(b). *See, e.g., Li v. Kerry*, 710 F.3d 995, 998 (9th Cir. 2013) (court noting that Fed. R. Civ. P. 12(b)(6) is read “in conjunction with” the pleading rules); *Griggs v. Ameriquest Mortg. Co.*, No. 1:06-CV-3147, 2007 WL 9703155, *2 (N.D. Ga. Apr. 25, 2007), *report and recommendation adopted*, 2007 WL 9703156 (N.D. Ga. May 24, 2007)(“the legal sufficiency of a complaint under FRCP 12(b)(6) is determined by whether the complaint states a claim upon which relief can be granted in light of the pleading requirements of Rules 8 and 9...”). Fed. R. Civ. P. 9(b)’s heightened pleading requirements are part and parcel of the Fed. R. Civ. P. 12(b)(6) analysis.

Fed. R. Civ. P. 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” The purpose of requiring particularity with respect to claims of fraud or mistake is (1) to provide the defendant with fair notice of the plaintiff’s claim, (2) to safeguard a defendant’s reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. United States v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d Cir. 2009). Thus, claims involving such allegations must meet an “elevated pleading standard.” *Iqbal*, 556 U.S. at 686–87.

Moreover, Fed. R. Civ. P. 9(b)’s application is “not limited to allegations styled or denominated as fraud or expressed in terms of the constituent elements of a fraud cause of action,” but applies so long as the claims themselves are premised on allegations of fraud, or “sound in fraud.” *Rombach v. Chang*, 355 F.3d 164, 171 (2nd Cir. 2004); *see also Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003); *Lone Star Ladies Inv. Club v. Schlotzsky’s Inc.*, 238

F.3d 363, 368-9 (5th Cir. 2001) (“Rule 9(b) applies by its plain language to all averments of fraud, whether they are part of a claim of fraud or not.”); *SEC v. Binance Holdings Ltd.*, 738 F. Supp.3d 20, 37 (D.D.C. 2024) (court noting that “[t]he majority of circuits” apply Fed. R. Civ. P. 9(b) where a claim “sounds in fraud”); *MSP Recovery Claims, Series LLC v. Pfizer, Inc.*, No. 22-cv-01419(DLF), 2025 WL 689180, *3 (D.D.C. Mar. 4, 2025), *appeal pending*, No. 25-7045 (D.C. Cir., filed April 8, 2025)(“[T]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant's fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); *see also Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). “Bare-bones allegations” therefore do not suffice. *Lundy v. Cath. Health Sys. of Long Island Inc.*, 711 F.3d 106, 119 (2d Cir. 2013).

OOCL makes no factual allegations regarding the details of SEC’s alleged fraud; just conclusory statements that SEA and SEC, acting in concert, privately disagreed with the terms of the alleged service contracts; concealed their disagreement so as to obtain more favorable terms, rates and charges than they were entitled to, and through this deception willfully and knowingly engaged in an unfair and unjust device. OOCL also alleges that SEC wrongfully “controlled” SEA as far as its demand for refunds and filing this action before the FMC (ATPC ¶ 61; AC ¶¶

31-33, 65-67). But OOCL alleges no facts to support any of these allegations. OOCL's "bare-bones" allegations against SEC completely fail to meet the requirements of Rule 9(b).

And in fact, as will be discussed further, below, the Third-Party Complaint (as well as the Amended Counterclaim) fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SEC with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

ARGUMENT

I. A Claim for Breach of Contract does not Establish an Intent Not to Perform the Contract

At its base, the Amended Third-Party Complaint against SEC (as well as the Amended Counterclaim against SEA), alleges that SEC and SEA breached the terms of the alleged service contracts by SEA's demand for refund of demurrage and detention payments based on delays of deliveries under store-door terms. That alleged breach of contract, for which OOCL seeks to hold SEC and SEA responsible, is the basis on which OOCL seeks to construct its theory of an alleged violation of the Shipping Act.

Essentially, OOCL argues that the imagined breach of the alleged service contracts can only be explained by a secret and concealed disagreement of SEC and SEA with the terms of the alleged service contracts at the time of negotiation and execution, and that by way of the concealed disagreement, SEC and SEA "induced" OOCL to enter the alleged service agreements, as well as SEC's unwarranted control and direction over SEA (ATPC ¶¶ 28, 85; AC ¶¶ 27, 66).

OOCL's theory of the case has no merit.

The law is well established that a breach of contract claim, standing alone, is insufficient to allege an intent to breach the contract *ab initio*. See, e.g., *UMG Recordings, Inc. v. Global Eagle Entertainment, Inc.*, 117 F. Supp. 3d 1092, 1108 (C.D. Calif. 2015) ("In the context of this type of

promissory fraud claim, alleging why the promise was false when made requires pleading facts from which it can be inferred that the promisor had no intention of performing at the time the promise was made. Mere nonperformance of a promise does not suffice to show the falsity of the promise.”)(citation omitted); *Sizer v. New England Life Ins. Co.*, 871 F. Supp. 2d 1071, 1079 (D. Oreg. 2012) (“To establish a defendant’s fraudulent intent regarding a promise to act in the future, a plaintiff must do more than show the eventual breach of that promise.”) (citation omitted); *Hotel Constr., Inc. v. Seagrave Corp.*, 574 F. Supp. 384, 388 (S.D.N.Y. 1983) (“A purely conclusory allegation that defendants never intended to perform, standing alone, could not convert a claim for breach of contract into one for fraudulent inducement to contract...”) (citations omitted); *Stanat Mfg. Co. v. Imperial Metal Finishing Co., Inc.*, 325 F. Supp. 794, 796 (S.D.N.Y. 1971) (“If a plaintiff could, merely by alleging that a contracting party never intended to fulfill his promise, create a tortious action in fraud, there would be no effective way of preventing almost every contract case from being converted to a tort for jurisdictional purposes.”)(citations omitted).

As set forth in a leading treatise:

When a promise is made in good faith, with the expectation of carrying it out, the fact that it subsequently is broken gives rise to no cause of action, either for deceit, or equitable relief. Otherwise any breach of contract would call for such a remedy. The mere breach of a promise is never enough in itself to establish the fraudulent intent. It may, however, be inferred from the circumstances, such as the defendant’s insolvency or other reason to know that he cannot pay, or his repudiation of the promise soon after it is made, with no intervening change in the situation, or his failure even to attempt any performance, or his continued assurances after it is clear that he will not do so.

W. Prosser, *The Law of Torts* § 109, at 730–31 (4th ed.1971)(quoted in *Asbury Square, L.L.C. v. Amoco Oil Co.*, 221 F.R.D. 497, 502 (S.D. Iowa 2004)).

In this matter, OOCL alleges that the alleged service contracts were negotiated and executed. Under those contracts, thousands of containers were shipped from the Far East to the

United States, all consigned to SEA.⁶ During the course of performance, disputes as to certain charges arose between OOCL and SEA ultimately leading to SEA’s filing of its complaint against OOCL. While OOCL alleges that SEC was responsible for SEA’s demands, this allegation is itself contradicted by OOCL’s further allegation that SEA made the payment demands (ATPC ¶ 51). Nevertheless, nothing in the course of these proceedings supports an inference that SEC had concealed its disagreement with the terms of the service contracts nor has OOCL alleged anything to support its § 41102(a) claim against SEC other than its assertion of the breach of the terms of the alleged service contracts. On this basis alone, the Presiding Officer should dismiss the third-party complaint against SEC.

II. OOCL Does Not Allege Knowing and Willful Conduct by SEC

Section 41102(a)’s first element—knowing and willful conduct—is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. “Conduct is knowing and willful if it was carried out ‘purposely or obstinately’, or with ‘gross recklessness, heedlessness, or a callous disregard’ for the consequences *or* ‘plain indifference to the law’s requirements.’” *Rana*, 2022 WL 1744905, *8 (emphasis in original)(quoting *Brokerage on Shipments of Ocean Freight—Max LePack*, (*Max LePack*), 5 F.M.B. 435, 444 (FMB 1958)).

The allegation that SEC’s conduct in this matter was “knowing and willful” (ATPC ¶ 65; AC ¶ 67), amounts to nothing more of a litany of assertions related to SEA’s questioning and protests of certain charges as well as declining to pay other charges (ATPC ¶¶ 51-59, 61). These allegations hardly add up to actually pleading factual allegations that SEC knowingly and willfully

⁶ Although there is no allegation in the Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by OOCL, it only seems logical to assume that substantial freight payments were made to OOCL.

obtained or attempted to obtain ocean transportation from OOCL at less than the applicable rates, which OOCL must plead (and properly support in its allegations) in order to state a claim for violation of § 41102(a).

III. OOCL Does Not Adequately Allege False or Fraudulent Conduct by SEC

A § 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 2022 WL 1744905 at *7-8 (citations omitted). OOCL’s Third-Party Complaint contains no allegation of false billing, false classification, or false measurement or reporting of cargo by SEC. Instead, OOCL merely makes the conclusory allegation that SEC, through SEA, demanded refunds and refused to pay unpaid charges, all in bad faith, and that such demands or refusals amounted to an unjust or unfair device or means (ATPC ¶ 61-65.)

Under the Commission’s regulatory interpretation of “unjust or unfair device or means” in connection with § 41102(a), to make a sufficient allegation of “unjust or unfair device or means,” a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 2022 WL 1744905 at *8 (to establish a violation of section 41102(a), “‘fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.’”) (quoting *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); see also *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, *10 (ALJ Apr. 15, 2024) (same) and 46 C.F.R. § 545.2 (Commission’s regulatory guidance requiring “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device”).

Because OOCL’s § 41102(a) claim requires an element of fraud or concealment, OOCL’s

Amended Third-Party Complaint against SEC (as well as the allegations against SEC in the Amended Counterclaim) are subject to Fed. R. Civ. R. 9(b)'s heightened pleading standard regarding the circumstances of the alleged fraud or concealment, as discussed in detail above.

OOCL's allegations of concealment amount to a claim that (1) SEC concealed its disagreement with the terms of the alleged service contracts at the time of the signing in order to induce OOCL into offering lower rates than it otherwise would have offered, (ATPC ¶¶ 29-32); and, (2) that SEC, through the exercise or non-exercise of its control over SEA then refused to pay and/or demanded refund of charges for which they were responsible (ATPC ¶¶ 61-65). OOCL, however, provides no specific details to support its assertion that SEC disagreed with the terms of the alleged contract at the time the contract was signed nor how its allegedly improper exercise of control over SEA was carried out.

What OOCL does allege is that SEA, in its Demand Letter of October 27, 2022, disagreed with detention and demurrage charges (ATPC ¶ 51; AC ¶ 37). OOCL does not allege *how* this was "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates nor does OOCL ever explain how this allegation relates to SEC, other than its allegation that SEA was controlled by SEC (ATPC ¶ 21). OOCL's allegation does not reveal or illuminate any "evidence of bad faith or deceit" as required for the Commission to infer an "unjust, unfair device" as outlined in the Commission's regulatory guidance for § 41102(a). *See* 46 C.F.R. § 545.2. Disagreement about charges certainly does not support a claim for concealment. Perforce, a signatory to a service contract can disagree with demurrage and detention charges, believing that an ocean carrier such as OOCL was at fault. As OOCL itself acknowledges, it is responsible for demurrage and detention charges where it is at fault (ATPC ¶ 29). Mere disagreement with such charges cannot possibly support OOCL's claim that SEC or SEA secretly

disagreed with the terms of the alleged service contracts at the time of the execution of the contracts or during the terms of the contracts, let alone OOCL's further claim of concealment of that disagreement or that such concealed disagreement amounted to an unjust or unfair device.

Finally, OOCL's concealment allegations are undermined by the fact that OOCL cannot show how SEA's and SEC's purported concealment was "a means" to obtaining ocean transportation at less than otherwise applicable rates. According to OOCL, SEA paid over \$11 million in detention and demurrage charges that it was assessed (ATPC ¶ 51; AC ¶ 37). As a result, neither SEA nor SEC have received the purported "benefit" of its concealment, and SEA can only now receive it through a proceeding before the Commission.

OOCL's "concealment" claim is flatly different in kind from the type of concealment highlighted in case law, such as a party's seeking payment under a false classification, and concealing the false classification, in order to secure a reduced rate. *See Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963). In *Hohenberg*, the petitioner conspired with the carrier to pay an artificially low rate on the shipment of cotton bales and attempted to conceal the incorrect rate from government inspectors and competitors who paid a higher rate. When government inspectors found the shipment and adjusted the shipping rates, the shipper again conspired with the carrier to undo the adjustment through a refund, which the shipper and carrier again attempted to conceal from government inspectors. In *Hohenberg*, the petitioner's concealment from government inspectors was obviously a means for the shipper to secure a reduced rate. In contrast to *Hohenberg*, SEA actively seeks to make its case publicly before the Commission to determine the correct allocation of detention and demurrage charges, a proceeding to which SEC is not a party nor has asserted any claim.

In sum, when subjected to Fed. R. Civ. P. 9(b)'s heightened pleading requirements,

including explaining why SEC's actions are purportedly fraudulent, OOCL's pleadings collapse upon even modest scrutiny, and must be dismissed.

IV. OOCL's Allegations Fail to Meet the Commission's General Pleading Standard

Even if the Presiding Officer declines to apply the heightened pleading standard required under Fed. R. Civ. P. 9(b), OOCL's Amended Third-Party Complaint still fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SEC with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

The substance of OOCL's claim that SEC engaged in some "unfair and unjust device" to obtain ocean transportation at rates lower than those that would typically apply is that SEC: (1) prior to the execution, and during the duration, of the alleged service contracts, privately disagreed with OOCL over the terms of the service contracts relating to detention, demurrage and other charges; (2) in concert with SEA, demanded refunds of charges it contends were unlawfully imposed upon it, after OOCL had fully performed under its contracts; and, (3) in concert with SEA, demanded that OOCL waive future charges that it views as unlawful but OOCL contends would be lawful (ATPC ¶ 61; AC ¶¶ 65-67).

But at no point does OOCL allege how SEA's open and obvious disputation of the charges is "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates or how SEA's disputation (as the consignee responsible for the payment of legitimate charges) somehow makes SEC potentially liable under the Shipping Act. As noted earlier, OOCL's allegations only appear to have the initial whiff of plausibility because OOCL downplays the fact that SEA paid the detention and demurrage charges and so has not

received the “benefit” of its purported concealment, which it can only get through the Commission’s ruling in favor of SEA. As such, OOCL’s allegation amounts to nothing more than a mere conclusory allegation of a key element of § 41102(a).

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Amended Third-Party Complaint should be dismissed. Moreover, any request on the part of OOCL to further amend its Amended Third-Party Complaint should be denied. Two bites of the apple are enough.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent SEC respectfully moves for an Order:

1. Dismissing with prejudice OOCL’s Third-Party Complaint in its entirety; and,
2. Granting SEC all such other and further relief as may be just and proper.

Dated: October 20, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

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